Apex Athletics
(Industry 1)

FACILITIES AND EQUIPMENT

Year 11

FACILITY SPACE	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Facility Space Available in Year 10 (000s of pairs)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Completion of New/Additional Space (construction initiated in Y10)	0	0	0	0	0
Facility Space Available (to house construction equipment in Y11)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Beginning Gross Investment in Facility Space ($000s)	$ 96,000	$ 0	$ 114,000	$ 0	$ 210,000
+ Investment in Additional Facility Space (initiated in Y10)	0	0	0	0	0
+ Capital Cost for Improved Working Conditions (CSRC)	5,500	0	5,500	0	11,000
Gross Investment in Facility Space ($000s)	101,500	0	119,500	0	221,000
– Accumulated Depreciation (through Year 10)	19,500	0	12,350	0	31,850
– Current Year 11 Depreciation (2.5% of gross investment)	2,538	0	2,988	0	5,526
Net Investment in Facility Space ($000s)	$ 79,462	$ 0	$ 104,162	$ 0	$ 183,624
Construction Work-In-Progress (new space to be available in Y12)	0 pairs	0 pairs	0 pairs	0 pairs	0 pairs
Capital Cost of Construction Work-In-Progress ($000s)	$ 0	$ 0	$ 0	$ 0	$ 0

FOOTWEAR PRODUCTION EQUIPMENT	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Production Equipment In-Place in Y10 (000s of pairs without OT)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Purchase of Additional Equipment (at the beginning of Year 11) — **New**	0	0	0	0	0
Purchase of Additional Equipment (at the beginning of Year 11) — **Refurbished**	0	0	0	0	0
Equipment Sold (at the beginning of Year 11)	0	0	0	0	0
Production Equipment Available in Y11 (000s of pairs w/o OT)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Percentage of New vs. Refurbished Equipment in Y11	100.0% 0.0%	0.0% 0.0%	0.0% 100.0%	0.0% 0.0%	50.0% 50.0%
Beginning Gross Investment in Equipment ($000s)	$ 80,000	$ 0	$ 57,600	$ 0	$ 137,600
+ Capital Cost of New Equipment (purchased in Year 11)	0	0	0	0	0
+ Capital Cost of Refurbished Equipment (purchased in Y11)	0	0	0	0	0
+ Capital Cost of Production Improvement Options	0	0	0	0	0
+ Capital Cost of Energy Efficiency Initiatives	0	0	0	0	0
– Capital Cost of Equipment Sold	0	0	0	0	0
Gross Investment in Production Equipment	80,000	0	57,600	0	137,600
– Accumulated Depreciation (through Year 10)	48,000	0	23,040	0	71,040
– Current Year 11 Depreciation (10% of gross investment)	8,000	0	5,760	0	13,760
Net Investment in Production Equipment ($000s)	$ 24,000	$ 0	$ 28,800	$ 0	$ 52,800
Production Improvement Options — **New Option Ordered in Year 11**	B	none	B	none	
Production Improvement Options — **Capital Cost of Option Ordered** ($000s)	$ 6,400	$ 0	$ 6,400	$ 0	
Options in Place (ordered in prior year)	B	none	B	none	

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Apex Athletics
(Industry 1)

PRODUCTION AND WORKFORCE

Year 11

PRODUCTION STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Footwear Production (000s of pairs)	Regular-Time Pairs	4,000	0	0	0	4,000	0	0	0	8,000	0
	Overtime Pairs	33	430	0	0	249	444	0	0	282	874
	Rejected Pairs	–60	–10	–0	–0	–183	–23	–0	–0	–243	–33
	Net Footwear Production	3,973	420	0	0	4,066	421	0	0	8,039	841
S/Q Rating of Pairs Produced		7.0★	3.2★	0.0★	0.0★	6.9★	3.0★	0.0★	0.0★		
Number of Models Produced		150	100	0	0	150	100	0	0		
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Reject Rate (% of regular + overtime pairs)		1.5%	2.3%	0.0%	0.0%	4.3%	5.2%	0.0%	0.0%	2.9%	3.8%
Cost of Rejected Pairs	$ Thousands	1,510	244	0	0	4,066	438	0	0	5,576	682
	$ Per Pair	0.38	0.58	0.00	0.00	1.00	1.04	0.00	0.00	0.72	0.85
Production Capability (000s of pairs without OT)		4,000 pairs		0 pairs		4,000 pairs		0 pairs		8,000 pairs	
Total Production (including rejected pairs)		4,463 pairs		0 pairs		4,693 pairs		0 pairs		9,156 pairs	
Utilization of Production Capability (max = 120%)		112%		0%		117%		0%		115%	

WORKFORCE STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Total Cost ($000s)	
Workforce Compensation (in Year 11)	Base Wages	34,000	26,112	0	0	12,000	13,032	0	0	39,144	
	Incentive Pay	5,130	3,940	0	0	1,762	1,914	0	0	5,854	
	Fringe Benefits	3,007	2,309	0	0	1,536	1,668	0	0	3,977	
	Total Regular Comp.	42,137	32,361	0	0	15,298	16,614	0	0	48,975	
	Overtime Pay	6,495	4,988	0	0	3,422	3,716	0	0	8,704	
	Total Compensation	48,632	37,349	0	0	18,720	20,330	0	0	57,679	
Best Practices Training Expenditures (in Y11)		600	461	0	0	400	434	0	0	895	
Supervisory Compensation (salary + benefits)		60,000	1,140	0	0	25,000	675	0	0	1,815	
Incentive Pay as % of Regular Compensation		12.2%		0.0%		11.5%		0.0%			
Cumulative Best Practices (total $ per worker)		1,200		0		800		0			
		Year 10	**Year 11**	Year 10	**Year 11**	Year 10	**Year 11**	Year 10	**Year 11**	Year 10	**Year 11**
Workforce Productivity (pairs per worker per year)		5,000	**5,206**	0	**0**	3,500	**3,684**	0	**0**		
Number of Workers Employed		800	**768**	0	**0**	1,143	**1,086**	0	**0**	1,943	**1,854**
Number of Supervisors Employed		20	**19**	0	**0**	29	**27**	0	**0**	49	**46**

BRANDED PRODUCTION COSTS	North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Materials Costs	32,603	8.21	0	0.00	40,939	10.07	0	0.00	73,542	9.15
Production Labor	32,717	8.23	0	0.00	17,949	4.41	0	0.00	50,666	6.30
Best Practices Training	417	0.10	0	0.00	393	0.10	0	0.00	810	0.10
Supervisory Costs	1,031	0.26	0	0.00	611	0.15	0	0.00	1,642	0.20
Enhanced Styling/Features	7,350	1.85	0	0.00	6,450	1.59	0	0.00	13,800	1.72
TQM/6-Sigma Program	12,099	3.05	0	0.00	12,747	3.14	0	0.00	24,846	3.09
Production Run Setup	3,250	0.82	0	0.00	3,250	0.80	0	0.00	6,500	0.81
Facilities Maintenance	2,907	0.73	0	0.00	3,755	0.92	0	0.00	6,662	0.83
Depreciation Expense	9,526	2.40	0	0.00	7,917	1.95	0	0.00	17,443	2.17
Total Production Costs	101,900	25.65	0	0.00	94,011	23.12	0	0.00	195,911	24.37

This section lists costs for branded production only. Private-Label production costs are listed separately in the Private-Label Operations report.

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Apex Athletics
(Industry 1)

Distribution and Warehouse

Year 11

WAREHOUSE OPERATIONS (branded)	North America			Europe-Africa			Asia-Pacific			Latin America			Total
All pair figures in thousands.	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs
Ending Inventory from Year 10	71	200	3.7★	60	200	3.7★	45	200	3.7★	45	200	3.7★	221
Inventory Clearance (at the beginning of Y11)	0			0			0			34			34
Beginning Year 11 Inventory	71	200	3.7	60	200	3.7	45	200	3.7	11	200	3.7	187
Incoming Year 11 Shipments from — North America Facility	2,526	150	7.0	1,447	150	7.0	0	0	0.0	0	0	0.0	3,973
Europe-Africa Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Asia-Pacific Facility	0	0	0.0	706	150	6.9	1,680	150	6.9	1,680	150	6.9	4,066
Latin America Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Pairs Available for Sale in Year 11	2,597	151	6.9★	2,213	151	6.9★	1,725	151	6.8★	1,691	150	6.9★	8,226
Pairs Sold — Internet Segment	428	428	Actual Branded Demand	400	400	Actual Branded Demand	293	293	Actual Branded Demand	234	234	Actual Branded Demand	1,355
Wholesale Segment	2,104	2,269		1,758	1,889		1,389	1,551		1,415	1,438		6,666
Total Branded Sales	2,532	2,697		2,158	2,289		1,682	1,844		1,649	1,672		8,021
Required Inventory (needed to achieve delivery time)	65			55			43			42			205
Inventory Surplus (Shortfall)	-165			-131			-162			-23			-481
Ending Year 11 Inventory (unsold pairs)	65	151	6.9★	55	151	6.9★	43	151	6.8★	42	150	6.9★	205

COST OF BRANDED PAIRS SOLD	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Cost of Beginning Year 11 Inventory	1,773	0.70	1,859	0.86	997	0.59	373	0.23	5,002	0.62
+ Production Cost of Incoming Pairs	64,788	25.59	53,432	24.76	38,845	23.09	38,845	23.56	195,910	24.42
± Exchange Rate Cost Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
+ Freight on Incoming Pairs	2,526	1.00	4,306	2.00	1,680	1.00	3,360	2.04	11,872	1.48
+ Import Tariffs on Incoming Pairs	0	0.00	12,918	5.99	0	0.00	16,800	10.19	29,718	3.71
– Cost of Ending Year 11 Inventory	1,729	0.68	1,802	0.84	1,035	0.62	1,475	0.89	6,041	0.75
Cost of Branded Pairs Sold in Year 11	67,358	26.60	70,713	32.77	40,487	24.07	57,903	35.11	236,461	29.48

WAREHOUSE EXPENSES	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Inventory Storage Costs (on Y10 carried over)	36	0.01	30	0.01	23	0.01	23	0.01	112	0.01
Packaging & Shipping Costs — Internet	5,350	2.11	5,000	2.32	3,663	2.18	2,925	1.77	16,938	2.11
Wholesale	7,312	2.89	6,274	2.91	5,167	3.07	5,245	3.18	23,998	2.99
Warehouse Lease and Maintenance	1,000	0.39	1,000	0.46	1,000	0.59	1,000	0.61	4,000	0.50
Total Warehouse Operating Expenses	13,698	5.41	12,304	5.70	9,853	5.86	9,193	5.57	45,048	5.62

INVENTORY CLEARANCE	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	1,309	38.50	1,309	38.50
± Exchange Rate Cost Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	1,309	38.50	1,309	38.50
Direct Costs — Production / Freight / Tariffs	0	0.00	0	0.00	0	0.00	1,119	32.91	1,119	32.91
Inventory Storage	0	0.00	0	0.00	0	0.00	17	0.50	17	0.50
Packaging / Shipping	0	0.00	0	0.00	0	0.00	136	4.00	136	4.00
Margin Over Direct Costs	0	0.00	0	0.00	0	0.00	37	1.09	37	1.09

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MARKETING AND ADMINISTRATIVE EXPENSES

Year11

MARKETING EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Internet Segments	Search Engine Advertising	4,500	10.51	1,000	2.50	500	1.71	500	2.14	6,500	4.80
	Website Maintenance	956	2.23	956	2.39	955	3.26	951	4.06	3,818	2.82
	Brand Advertising (Note 1)	2,197	5.13	2,781	6.95	1,394	4.76	1,774	7.58	8,146	6.01
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Internet Marketing	7,653	17.88	4,737	11.84	2,849	9.72	3,225	13.78	18,464	13.63
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Wholesale Segments	Brand Advertising (Note 1)	10,803	5.13	12,219	6.95	6,606	4.76	10,726	7.58	40,354	6.05
	Rebate Redemption	2,630	1.25	2,198	1.25	1,736	1.25	1,769	1.25	8,333	1.25
	On-Time Delivery	1,578	0.75	1,319	0.75	1,042	0.75	1,061	0.75	5,000	0.75
	Retailer Support	4,000	1.90	4,000	2.28	1,925	1.39	1,925	1.36	11,850	1.78
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Wholesale Marketing	19,011	9.04	19,736	11.23	11,309	8.14	15,481	10.94	65,537	9.83

Note 1: Brand advertising expenditures in each region are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

Note 2: Expenditures for celebrity endorsements are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

ADMINISTRATIVE EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Executive Salaries (Note 1)		1,626	0.64	1,385	0.64	1,080	0.64	1,059	0.64	5,150	0.64
Corporate Overhead (Note 2)		3,157	1.25	2,690	1.25	2,097	1.25	2,056	1.25	10,000	1.25
CSRC Initiatives	Ethics Training / Enforcement	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Cafeteria / On-Site Child Care	189	0.07	161	0.07	126	0.07	123	0.07	600	0.07
	Ventilation / Lighting / Safety	158	0.06	135	0.06	105	0.06	103	0.06	500	0.06
	Supplier Code of Conduct	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Fixed Costs of Idled Prodcution Facility (Note 3)		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Total Administrative Expenses (Note 4)		5,130	2.03	4,371	2.03	3,408	2.03	3,341	2.03	16,250	2.03

Note 1: Executive salaries totaled $5 million in Year 10 and increase at a rate of 3% annually.

Note 2: Corporate overhead expenses include $1.00 for each pair of production capability (without overtime) company-wide and $1 million for each production facility. Corporate overhead will increase or decrease as company-wide footwear production capability increases or decreases. Also, if the company holds celebrity endorsement contract(s) but sells no branded pairs (private-label sales only), then the total annual cost of celebrity contracts is assigned to corporate overhead.

Note 3: If no pairs are produced at a production facility in a given year, the annual maintenance and depreciation expenses (fixed costs) for the facility are treated as administrative expenses rather than allocated to the production costs at other active facilities.

Note 4: Administrative expenses are calculated for the company in total and then allocated to the branded segments based on each segment's percentage of total branded pairs sold. For accounting purposes and for purpose of profit/loss calculations, no administrative expenses are allocated to private-label sales.

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PRIVATE–LABEL OPERATIONS

Year 11

CONTRACT OFFERS		North America	Europe-Africa	Asia-Pacific	Latin America	Total
Offers to Private Label Buyers	Offer Price ($ per pair)	29.50	36.50	25.00	35.00	
	Pairs Offered (000s)	210 pairs	210 pairs	210 pairs	210 pairs	840 pairs
	S/Q Rating	3.2★	3.2★	3.0★	3.0★	
	Number of Models	100	100	100	100	
Offer Accepted / Declined		Accepted	Accepted	Accepted	Accepted	
Pairs Produced / Sold (000s)		210 pairs	210 pairs	210 pairs	210 pairs	840 pairs

PRODUCTION AND SHIPPING		North America Facility		Europe-Africa Facility		Asia-Pacific Facility		Latin America Facility		Total (all facilities)	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Production Costs	Materials Costs	2,627	6.25	0	0.00	2,901	6.89	0	0.00	5,528	6.57
	Labor Costs	4,632	11.03	0	0.00	2,381	5.66	0	0.00	7,013	8.34
	Best Practices Training	44	0.10	0	0.00	41	0.10	0	0.00	85	0.10
	Supervisory Costs	109	0.26	0	0.00	64	0.15	0	0.00	173	0.21
	Enhanced Styling / Features	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	TQM/6-Sigma Program	1,290	3.07	0	0.00	1,332	3.16	0	0.00	2,622	3.12
	Production Run Setup	500	1.19	0	0.00	500	1.19	0	0.00	1,000	1.19
	Facilities Maintenance	309	0.74	0	0.00	394	0.94	0	0.00	703	0.84
	Depreciation Expense	1,012	2.41	0	0.00	831	1.97	0	0.00	1,843	2.19
	Total Production Costs	10,523	25.05	0	0.00	8,444	20.06	0	0.00	18,967	22.55
Private-Label Production (000s of pairs)	Regular-Time Pairs	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
	Overtime Pairs	430		0		444		0		874	
	Rejected Pairs	–10 (2.3%)		–0 (0.0%)		–23 (5.2%)		–0 (0.0%)		–33 (3.8%)	
	Net Production	420 pairs		0 pairs		421 pairs		0 pairs		841 pairs	
Shipments To (000s of pairs)	N.A. Warehouse	210 pairs		0 pairs		0 pairs		0 pairs		210 pairs	
	E-A Warehouse	210		0		0		0		210	
	A-P Warehouse	0		0		210		0		210	
	L.A. Warehouse	0 pairs		0 pairs		210 pairs		0 pairs		210 pairs	

REVENUES / COSTS / MARGINS		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Private-Label Revenues		6,195	29.50	7,665	36.50	5,250	25.00	7,350	35.00	26,460	31.50
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Private-Label Revenues		6,195	29.50	7,665	36.50	5,250	25.00	7,350	35.00	26,460	31.50
Direct Costs	Production Costs	5,261	25.05	5,261	25.05	4,213	20.06	4,213	20.06	18,948	22.56
	± Exchange Rate Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Freight	210	1.00	420	2.00	210	1.00	420	2.00	1,260	1.50
	Import Tariffs	0	0.00	1,260	6.00	0	0.00	2,100	10.00	3,360	4.00
	Packaging / Shipping	210	1.00	210	1.00	210	1.00	210	1.00	840	1.00
Margin Over Direct Costs		514	2.45	514	2.45	617	2.94	407	1.94	2,052	2.44

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Apex Athletics
(Industry 1)

INCOME STATEMENT

Year 11

CONSOLIDATED INCOME STATEMENT		North America	Europe-Africa	Asia-Pacific	Latin America	Company Total
Segment Revenues	Internet	36,166	32,800	21,096	22,113	112,175
	Wholesale (see Note 1)	107,304	105,480	66,672	86,209	365,665
	Private-Label	6,195	7,665	5,250	7,350	26,460
Gross Revenues from Footwear Sales		149,665	145,945	93,018	115,672	504,300
± Exchange Rate Adjustments		0	0	0	0	0
Net Revenues from Footwear Sales		149,665	145,945	93,018	115,672	504,300
Operating Costs	Cost of Pairs Sold (see Note 1)	72,829	77,654	44,910	65,755	261,148
	Warehouse Expenses	13,908	12,514	10,063	9,556	46,041
	Marketing Expenses	26,664	24,473	14,158	18,706	84,001
	Administrative Expenses	5,130	4,371	3,408	3,341	16,250
Operating Profit (Loss)		31,134	26,933	20,479	18,314	96,860
Interest Income (Expense)						-8,708
Other Income or (Expense) (see Note 2)						0
Pre-Tax Profit (Loss)						88,152
Income Taxes (see Note 3)						26,446
Net Profit (Loss)						61,706

Profitability and Payout	Year10	Year11
Earnings Per Share	$2.00	**$3.12**
Dividends Per Share	$1.00	**$0.00**

Note 1: These items also include revenues collected from and costs associated with inventory clearance at the beginning of the year. For more details on inventory clearance, see the last section of the Distribution and Warehouse report.

Note 2: This item includes charitable contributions and/or instructor-awarded refunds and/or instructor-imposed fines (appearing as negative).

Note 3: The income tax rate is 30%. If a net loss was recorded in the prior year, the loss is carried forward and may offset some or all taxable income in the current year and reduce current-year income taxes.

BRANDED MARKET PERFORMANCE

INTERNET MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Internet Sales		30,816	72.00	32,800	82.00	21,096	72.00	19,188	82.00	103,900	76.68
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Gross Internet Revenues		30,816	72.00	32,800	82.00	21,096	72.00	19,188	82.00	103,900	76.68
Customer-Paid Shipping Fees		5,350	12.50	0	0.00	0	0.00	2,925	12.50	8,275	6.11
Net Internet Revenues		36,166	84.50	32,800	82.00	21,096	72.00	22,113	94.50	112,175	82.79
Operating Costs	Cost of Pairs Sold	11,386	26.60	13,107	32.77	7,053	24.07	8,217	35.12	39,763	29.35
	Warehouse Expenses	5,525	12.91	5,191	12.98	3,841	13.11	3,070	13.12	17,627	13.01
	Marketing Expenses	7,653	17.88	4,737	11.84	2,849	9.72	3,225	13.78	18,464	13.63
	Administrative Expenses	867	2.03	810	2.03	594	2.03	474	2.03	2,745	2.03
Operating Profit (Loss)		10,735	25.08	8,955	22.39	6,759	23.07	7,127	30.46	33,576	24.78
		Year10	**Year11**	Year10	**Year11**	Year10	**Year11**	Year10	**Year11**	Year 10	**Year11**
Segment Statistics	Pairs Sold (000s)	353	**428**	300	**400**	225	**293**	225	**234**	1,103	**1,355**
	Market Share	10.0%	**12.1%**	10.0%	**13.2%**	10.0%	**12.5%**	10.0%	**9.9%**	10.0%	**12.1%**
	Operating Profit Margin	22.5%	**29.7%**	17.9%	**27.3%**	17.5%	**32.0%**	9.8%	**32.2%**	17.5%	**29.9%**

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross WHolesale Revenues		107,304	51.00	105,480	60.00	66,672	48.00	84,900	60.00	364,356	54.66
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Wholesale Revenues		107,304	51.00	105,480	60.00	66,672	48.00	84,900	60.00	364,356	54.66
Operating Costs	Cost of Pairs Sold	55,972	26.60	57,606	32.77	33,434	24.07	49,686	35.11	196,698	29.51
	Warehouse Expenses	8,173	3.88	7,113	4.05	6,012	4.33	6,123	4.33	27,421	4.11
	Marketing Expenses	19,011	9.04	19,736	11.23	11,309	8.14	15,481	10.94	65,537	9.83
	Administrative Expenses	4,263	2.03	3,561	2.03	2,814	2.03	2,867	2.03	13,505	2.03
Operating Profit (Loss)		19,885	9.45	17,464	9.93	13,103	9.43	10,743	7.59	61,195	9.18
		Year10	**Year11**	Year10	**Year11**	Year10	**Year11**	Year10	**Year11**	Year10	**Year11**
Segment Statistics	Pairs Sold (000s)	1,997	**2,104**	1,700	**1,758**	1,275	**1,389**	1,275	**1,415**	6,247	**6,666**
	Market Share	10.0%	**11.4%**	10.0%	**11.1%**	10.0%	**11.2%**	10.0%	**11.4%**	10.0%	**11.3%**
	Operating Profit Margin	18.3%	**18.5%**	13.3%	**16.6%**	21.9%	**19.7%**	9.1%	**12.7%**	15.6%	**16.8%**

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Apex Athletics
(Industry 1)

Balance Sheet & Cash Flow Statement

Year 11

BALANCE SHEET

ASSETS	$000s
Cash On Hand	29,624
Accounts Receivable (see Note 1)	97,704
Footwear Inventories	6,041
Total Current Assets	133,369
Net Investment in Facilities and Equipment	236,424
Construction Work In Progress (for new space)	0
Production Improvement Options On Order	12,800
Total Fixed Assets (see Note 2)	249,224
Total Assets	382,593

LIABILITIES	$000s
Accounts Payable (see Note 3)	19,768
1-Year Bank Loan Payable (see Note 4)	0
Current Portion of Long-Term Bank Loans (see Note 5)	15,900
Overdraft Loan Payable (see Note 6)	0
Total Current Liabilities	35,668
Long Term Bank Loans Outstanding (see Note 7)	81,300
Total Liabilities	116,968

SHAREHOLDER EQUITY	Beginning Balance	Change in Y11	$000s
Common Stock (see Note 8)	20,000	-200	19,800
Additional Capital (see Note 9)	110,000	-5,860	104,140
Retained Earnings (see Note 10)	79,979	61,706	141,685
Total Shareholder Equity	209,979	55,646	265,625
Return On Average Shareholder Equity (see Note 11)			25.9%

Note 1: Of the $390,816 of wholesale and private-label net revenues reported on the Y11 income statement, 75% was collected in Y11 and 25% will be collected in Y12.

Note 2: For more details on fixed asset investment, see the Facilities and Equipment report (page 1 of these Company Operating Reports).

Note 3: Of the $79,070 of materials used for footwear production in Year 11, 75% was paid for in Year 11 and 25% will be paid for in Year 12.

Note 4: The company's Year 11 interest rate for a 1-year bank loan was 4.3%.

Note 5: This item represents the principal portion of all outstanding 5-year and 10-year bank loans due to be repaid in the upcoming year (Year 12).

Note 6: Loans for overdrafts are incurred automatically to prevent a negative year-end cash balance at an interest rate that is 2.0% higher than the company's 1-year loan rate.

Note 7: Long-term bank loans outstanding:

Loan Number	Initial Year	Original Principal	Interest Rate	Term	Out-standing Principal	Annual Principal Payment	Year12 Interest Payable
1	Y4	60,000	8.2%	10-yr	18,000	6,000	1,476
2	Y9	99,000	7.7%	10-yr	79,200	9,900	6,098
3							
4							
5							
6							
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14							
15							
16							

Note 8: There are 19,800k shares of stock issued and outstanding at a par value of $1.00 per share. The authorized maximum number of shares outstanding is 50,000k.

Note 9: Additional Capital represents the dollar amount over and above par value that share-holders have paid to purchase new shares of common stock.

Note 10: Retained Earnings is a summation of all after-tax profits the company has earned that have not been distributed to shareholders in the form of dividends.

Note 11: The formula for Return On Average Shareholder Equity is:

$$\frac{\text{After-Tax Profit}}{(\text{Beginning Equity} + \text{Ending Equity}) \div 2}$$

CASH FLOW STATEMENT

CASH INFLOWS IN YEAR 11		$000s
Beginning Cash Balance (carried over from prior year)		6,074
Cash Inflows	Receipts from Footwear Sales (see Note 1)	492,179
	Bank Loans — 1-Year Loan	0
	5-Year Loan	0
	10-Year Loan	0
	Stock Issue (0 shares issued)	0
	Sale of Production Equipment	0
	Interest Income on Y10 Cash Balance (sobre el saldo de A10)	121
	Loan to Cover Overdraft (1-year loan @ 8.3%)	0
	Cash Refund (awarded by instructor)	0
Total Cash Available from All Sources		498,374

CASH OUTLAYS IN YEAR 11		$000s
Cash Outlays	Payments to Materials Suppliers (see Note 2)	78,691
	Production Expenses (excluding depreciation – see Note 3)	116,522
	Distribution and Warehouse Expenses	92,251
	Marketing and Administrative Expenses	100,251
	Capital Outlays — Facility Expansion (new space)	0
	Equipment Purchases	0
	Production Imp. Options	12,800
	Energy Efficiency Initiatives (RSCC)	11,000
	Bank Loan Repayment (see Note 4) — 1-Year Loan	0
	5-Year Loans	0
	10-Year Loans	15,900
	Interest Payments — Bank Loans	8,829
	Y10 Overdraft Loan	0
	Stock Repurchase (200 shares repurchased @ $30.30)	6,060
	Income Tax Payments	26,446
	Dividend Payments to Shareholders	0
	Charitable Contributions	0
	Cash Fine (assessed by instructor)	0
Total Cash Outlays		468,750
Net Cash Balance (at the end of Year 11)		29,624

Note 1: This item consists of all internet revenues recorded in Y11, 75% of wholesale and private-label revenues recorded in Y11, and accounts receivable from Y10 sales.

Note 2: This item consists of 75% of the cost of Y11 production materials and 25% of Y10 production materials costs due to a 3-month lag in payments to materials suppliers.

Note 3: This item includes all Y11 production-related expenses (adjusted for exchange rate cost impacts) except for depreciation (which is a non-cash accounting charge).

Note 4: All 1-year loans (including overdraft loans) received in Year 10 were repaid in full in Year 11. Interest on all 1-year loans received in Year 10 was also paid in Year 11.

SELECTED FINANCIAL STATISTICS

Credit Rating Measures	Interest Coverage Ratio (oper. profit ÷ interest exp.)	11.12
	Debt to Assets Ratio (total liabilities ÷ total assets)	0.31
	Default Risk Ratio (cash flow from ops ÷ principal paymts)	5.09
	Risk of Default (see Note 1)	Low
	Credit Rating (at the end of Year 11)	A
Current Ratio (current assets ÷ current liabilities)		3.74
Operating Profit Margin (operating profit ÷ net sales revenues)		19.2%
Net Profit Margin (net profit ÷ net sales revenues)		12.2%
Dividend Payout (dividends per share ÷ earnings per share)		0.0%
Cash Flow from Operations (after-tax profit + depreciation)		80,992
Total Principal Payments ($000s to be paid in Year 11)		15,900

Note 1: A default risk ratio of 4.00 or higher results in a Low default risk, 2.00 to 4.00 results in a Meduim default risk, and below 2.00 results in a High default risk.

Note: Because demand and sales figures are rounded to the nearest 1000 pairs, minor anomalies in the company's financial statements may occasionally occur. Any rounding inconsistencies that do appear will be smaller than ±50 and will likely average-out over time. Such rounding anomalies have no significant impact on company performance.

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